

LOW-COST AIRLINES

Mouthful OF SKY

Prices have plunged, distances bridged and air transport democratised. Low-cost airlines have opened up the sky to India's middle class but the infrastructure is yet to catch up.

■ By Malini Bhupta

As a charter helicopter pilot in 2001, ferrying people from remote areas was common practice for Captain G.R. Gopinath. On one of his journeys, he peered from the chopper, expecting to catch a glimpse of cattle and thatched roofs in the villages below, but all he saw was shiny mirror-like objects. His curiosity brought him down on one sleepy hamlet and what he discovered was not rural poverty but dish antennas that belonged to scores of hungry consumers, who wanted to be part of a bustling market. Says Gopinath, "This is the new India, which does not live in cities and yet consumes everything from telecom services to FMCG products."

Thus was born the idea of an airline, which would provide services to this aspiring India. A burning desire to bridge the distance and democratise air transport took Gopinath to the aviation ministry in Delhi, where he convinced the government to sanction two new airports—in Hubli and Vijaywada. The government also slashed sales tax on air turbine fuel from 80 per cent to four per cent and abolished landing and parking charges for small aircraft. When Air Deccan took wing in 2003, there were 500 air fields that were not in use even though cities like Dehradun, Hubli and Vijaywada had en-

trepreneurs and corporates willing to pay to fly.

But the first chapter of the aviation boom was written in the early 1990s, when private carriers were allowed to start domestic air services. So far subsisting on national carriers Air-India and Indian Airlines, the launch of private airlines like Jet Airways, East West and Damania Airways gave consumers greater choice. Even though most, except Jet Airways failed, consumers benefited as state carriers were forced to improve services. After the first flush came low-cost carriers which went on to make a bigger story and captured the imagination of the nation by killing geographical distance for good. Says Ajay Singh, managing director of SpiceJet, which operates 17 aircraft, "The entry of low-cost carriers redefined everything in an industry which was stagnating at 8-10 million passengers a year." Today over 71 million Indians fly within India every year.

Low-cost carriers have been responsible for providing services in previously under-connected or even unconnected cities. For instance, Air Deccan operates to airports like Kandla and Hubli, which had no commercial services before. According to a report by the Centre for Asia Pacific Aviation (CAPA), aircraft movement may grow quicker than passenger numbers, driven by the low-cost carrier emphasis on high capacity utilisation and quick turnarounds.

37%
is the market
share of
domestic
low-cost
carriers

310
is India's fleet
strength now;
480 new aircraft
are set to be
added by 2010

BANDEEP SINGH

READY TO FLY: The number of carriers in India has grown from two in 1991 to 11 now

